

Residential real estate loans declined because most of the new loans originated by Key over the past twelve months were originated for sale. Additionally, low interest rates led to an increase in mortgage prepayment activity.

Excluding loan sales and acquisitions, consumer loans would have increased by \$1.2 billion, or 5%, during the past twelve months.

The home equity portfolio is by far the largest segment of Key's consumer loan portfolio. Key's home equity portfolio is derived primarily from our Retail Banking line of business (53% of the home equity portfolio at December 31, 2003) and the National Home Equity unit within our Consumer Finance line of business.

The National Home Equity unit has two components: Champion Mortgage Company, a home equity finance company, and Key Home Equity Services, which purchases individual loans from an extensive network of correspondents and brokers. Prior to the third quarter of 2002, Key Home Equity Services also purchased loans through bulk portfolio acquisitions from home equity loan companies.

Figure 16 summarizes Key's home equity loan portfolio at December 31 for each of the last five years, as well as certain asset quality statistics and yields on the portfolio as a whole.

Sales and securitizations. During 2003, Key sold \$1.7 billion of commercial real estate loans, \$1.2 billion of education loans (\$998 million through securitizations), \$815 million of home equity loans, \$671 million of residential real estate loans and \$312 million of commercial loans.

Among the factors that Key considers in determining which loans to securitize are:

- whether the characteristics of a specific loan portfolio make it conducive to securitization;
- the relative cost of funds;
- the level of credit risk; and
- capital requirements.

FIGURE 16. HOME EQUITY LOANS

December 31, <i>dollars in millions</i>	2003	2002	2001	2000	1999
SOURCES OF LOANS OUTSTANDING					
Retail Banking (KeyCenters) and Small Business	\$ 8,370	\$ 7,549	\$ 5,570	\$5,358	\$5,066
McDonald Financial Group and other sources	1,483	1,318	861	778	674
Champion Mortgage Company	2,857	2,210	1,886	1,082	371
Key Home Equity Services division	2,328	2,727	2,867	2,690	1,862
National Home Equity line of business	5,185	4,937	4,753	3,772	2,233
Total	<u>\$15,038</u>	<u>\$13,804</u>	<u>\$11,184</u>	<u>\$9,908</u>	<u>\$7,973</u>
Nonperforming loans	\$153	\$146	\$60	\$80	\$50
Net charge-offs for the year	55	52	98	17	9
Yield for the year	5.92%	6.82%	8.55%	9.29%	8.54%

Figure 17 summarizes Key's loan sales (including securitizations) for 2003 and 2002.

FIGURE 17. LOANS SOLD

<i>in millions</i>	Commercial	Commercial Real Estate	Commercial Lease Financing	Residential Real Estate	Home Equity	Consumer — Indirect	Education	Total
2003								
Fourth quarter	\$ 73	\$ 599	—	\$129	\$ 96	—	\$ 96	\$ 993
Third quarter	120	423	—	211	473	—	895	2,122
Second quarter	67	408	—	184	134	—	85	878
First quarter	52	253	—	147	112	—	109	673
Total	<u>\$312</u>	<u>\$1,683</u>	<u>—</u>	<u>\$671</u>	<u>\$815</u>	<u>—</u>	<u>\$1,185</u>	<u>\$4,666</u>
2002								
Fourth quarter	\$ 93	\$ 603	—	\$ 65	\$110	\$177	\$ 100	\$1,148
Third quarter	18	352	—	25	242	3	784	1,424
Second quarter	31	159	\$18	20	24	—	70	322
First quarter	—	319	—	—	9	—	116	444
Total	<u>\$142</u>	<u>\$1,433</u>	<u>\$18</u>	<u>\$110</u>	<u>\$385</u>	<u>\$180</u>	<u>\$1,070</u>	<u>\$3,338</u>